ARM: more CPU content, with real costs

Arm can collect more revenue as chip designers adopt richer CPU intellectual property and as AI applications require more processor work around accelerators. Its new merchant CPU adds a second way to earn from the same software ecosystem: selling a finished chip. That opportunity also brings manufacturing, supply, engineering and customer-acceptance risk.

Current research snapshot	Assessment
Classification	CPU architecture and software ecosystem; competitive IP/platform beneficiary with an early merchant-silicon ramp
Analytical thesis score	44 / 60 = 73% - Watchlist
Protected Excel Base	73; retained separately from the analytical score
Active operating ceiling	Q4 2027: USD 61 per ADS
Exact earnings window	Q4 2027 through Q3 2028
Valuation method	25x forward-four-quarter GAAP-style operating profit / starting-quarter total diluted ordinary-equivalent shares
Share convention	One ADS represents one ordinary share; total claims, including controlling ownership, form the denominator
Dated price snapshot	About USD 221 per ADS at the regular close, October 20, 2026 at 4 pm EDT
Reported share counts	June-quarter diluted weighted average: 1,078 million; period-end issued claims: about 1,068 million
Forward model share path	1,080 million to 1,150 million total diluted ordinary-equivalent claims; a forecast, distinct from the reported counts
Latest reported quarter	FY2027 Q1, ended June 30, 2026; reported July 29
Next scheduled results	November 4, 2026 at 5 pm Eastern; the September quarter remains unreported at this research cutoff

Dated regular-session price source. Share counts: July 29 shareholder letter and June 30 interim filing. The dated market snapshot does not determine operating assumptions.

Where the company-specific opportunity sits

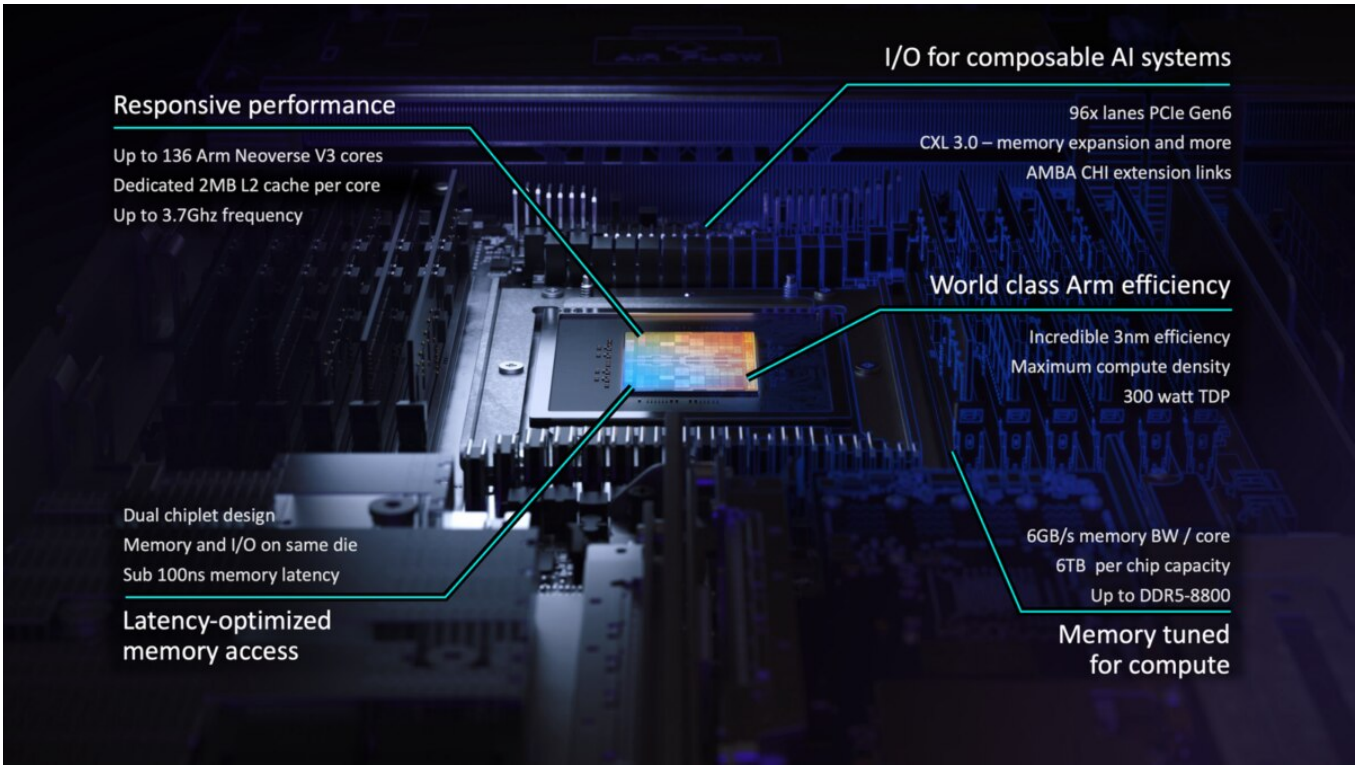
The useful near-term signal is customer demand above the original supply-supported merchant CPU plan. Management describes more than $2 billion of demand across FY2027 and FY2028, while the formal initial opportunity remains $1 billion. This model gives a finite additional $1 billion outcome a 55% probability, phases recognition through FY2028, and deducts manufacturing and support costs. The initial $90 million timing remains intact.

The broader royalty and license trajectory already includes substantial AI adoption, and the later merchant ramp is ambitious. The case depends on customers receiving qualified systems and Arm turning demand into GAAP-style earnings after ordinary compensation and acquisition costs. Generic AI spending, benchmark headlines and customer names do not create extra invoices by themselves.

Reader-facing financial tables are rounded to whole USD millions, whole percentages and whole dollars per ADS. Exact unrounded assumptions and calculations remain in the synchronized model. Forecasts, management guidance and reported facts are labeled separately.

Sources: ARM-FY27Q1-LETTER-SEC (2026-07-29); ARM-FY27Q1-CALL (2026-07-29); ARM-IR-RESULTS (2026-10-21).

How Arm receives revenue



Issuer product exhibit, March 24, 2026: Arm AGI CPU combines up to 136 Neoverse V3 cores with memory and I/O on the compute die; 3nm, 300W rated TDP, DDR5 and PCIe 6/CXL. Product specifications establish capability, rather than accepted shipments, selling prices or system-level energy savings.

Revenue vector	Customer invoice and cost bridge	Current confidence
Royalties	Licensees ship royalty-bearing chips. Arm receives the contracted royalty on the covered chip or applicable contractual base. Product mix and v9/CSS adoption can raise content; core counts alone cannot determine revenue.	HIGH latest reported total; LOW forward product/end-market mix and revenue allocation
License and other	Access to intellectual property, design services and future roadmap rights. Recognition follows contractual obligations; large deals can make quarters uneven. ACV and RPO are useful partial cross-checks.	HIGH reported total; LOW quarterly contract timing forecast
Merchant AGI CPU	Finished CPU receipts following production and customer acceptance, less wafer, memory, substrate, assembly/test, engineering and deployment support. Arm does not charge a second royalty to itself on the same chip.	LOW forecast; product exists, but unit allocation, ASP and incremental accepted orders are not disclosed

The IP business benefits from reuse of a large software and developer ecosystem. A richer licensed subsystem can shorten a customer's design cycle and support higher royalty content. Merchant silicon lets customers purchase a completed CPU but also places Arm alongside some of its own licensees as a direct competitor.

Sources: ARM-AGI-LAUNCH (2026-03-24); ARM-FY27Q1-CALL (2026-07-29); ARM-FY26-20F (2026-05-26).

Actual earnings and the cost of compensation



Arm's published Q1 FY2027 results, July 29, 2026, cover the quarter ended June 30. GAAP and adjusted operating profit use different compensation and other-cost treatments; the bridge below preserves the GAAP-style basis used for valuation.

Quarter ended June 30, 2026	USD millions	Status or treatment
Revenue	1,289	Reported
Royalties / license and other	715 / 574	Reported; different billing channels
GAAP gross profit	1,253	Revenue less 36 cost of sales
GAAP operating expenses	1,162	838 R&D + 317 SG&A + 7 other
GAAP operating profit	91	1,253 gross profit - 1,162 opex
Add ordinary SBC for adjusted reporting	343	9 in cost of sales; 334 in operating expenses
Add net related employer taxes	90	2 in cost of sales; 88 in operating expenses
Add other operating expense	7	Company reconciliation item

Quarter ended June 30, 2026	USD millions	Status or treatment
Adjusted operating profit	531	91 + 343 + 90 + 7 = 531

The interim segment note gives $98 million of gross employer taxes; the adjusted reconciliation uses $90 million after related R&D incentives. Charging both would double-count the same tax exposure. The forecast retains ordinary SBC and net employer-tax costs, and its IP gross margin already contains ordinary cost-of-sales compensation. Adjusted EPS, investment gains and operating cash flow are not substitutes for operating profit.

Sources: ARM-FY27Q1-LETTER-SEC (2026-07-29); ARM-FY27Q1-INTERIM (2026-07-29).

Growth anchors and fiscal timing

Evidence period	Reported or guided observation	Model consequence
FY2026 Q4 call, May 6	Revenue about 1,490; royalties 671; licensing 819. Full-year revenue about 4,920. Data-center royalties more than doubled year over year.	Prior actual and management commentary. Use the June quarter as the newer operating anchor.
FY2027 Q1 call, July 29	Revenue 1,289; royalties 715; licensing 574. Data-center royalties again more than doubled; Neoverse shipments exceeded 1,500 million cumulative cores.	Cumulative cores are not quarterly chip units or a royalty-per-chip denominator.
FY2027 Q2 guidance	September-quarter revenue 1,330-1,430, midpoint 1,380; adjusted opex 780. Royalty growth low teens; licensing growth about 30% year over year in prepared remarks.	Calendar Q3 2026 is guidance anchored, with the full compensation bridge retained. September actuals are not available yet.
November 4, 2026	Next scheduled earnings release/call	Test revenue mix, compensation/tax costs, merchant supply and acquisition accounting against actual disclosure.

Management says higher Armv9 and CSS content is helping offset smartphone unit weakness, including pressure from higher memory costs. The dollar split of royalty revenue by end market, contractual royalty rates and customer unit shipments is incomplete. The model keeps these unknowns visible rather than turning a core-shipment statistic into chip revenue.

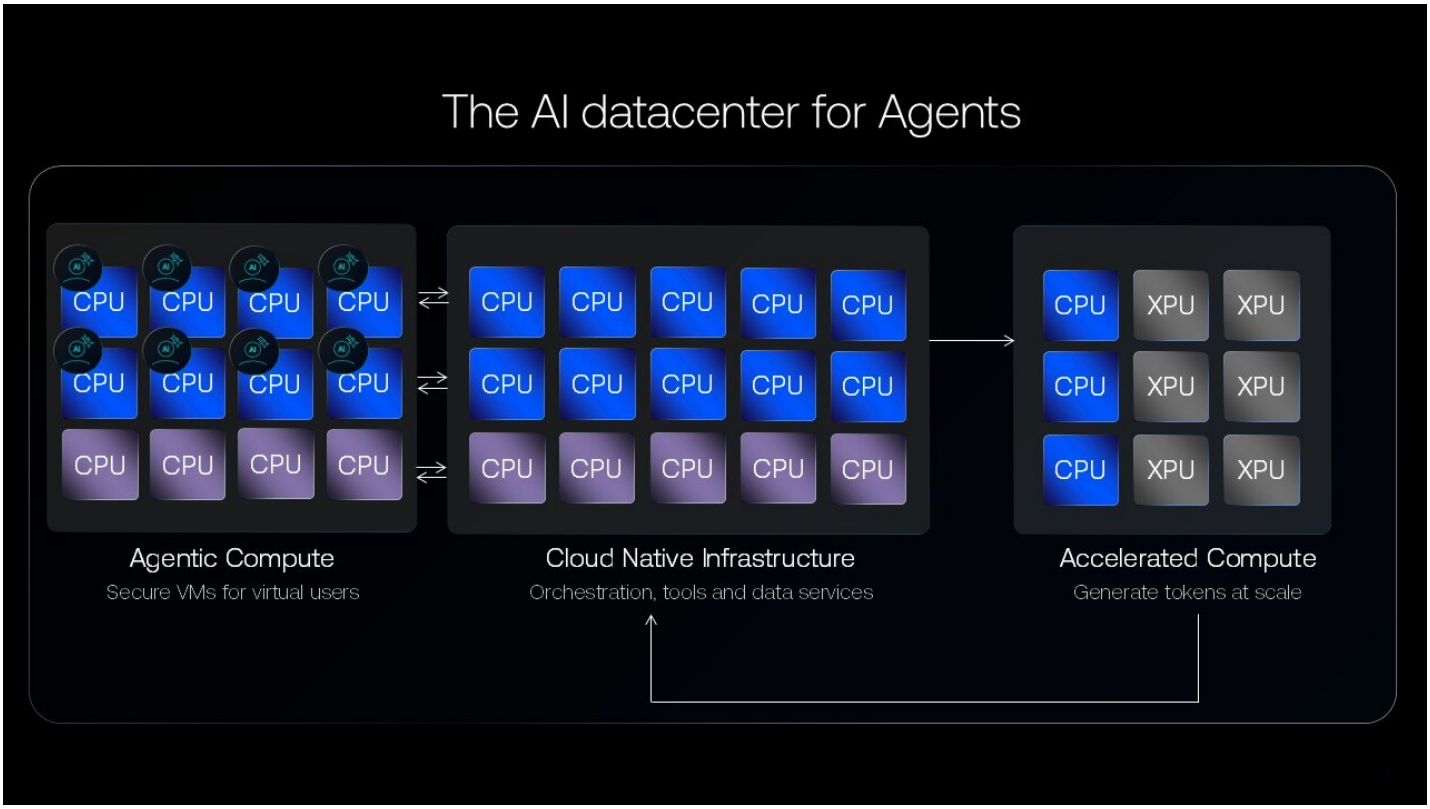
Calendar period used here	Arm fiscal period	Status
Q2 2026	FY2027 Q1	Reported actual anchor
Q3 2026	FY2027 Q2	Guidance anchored forecast
Q4 2026	FY2027 Q3	Forecast
Q1 2027	FY2027 Q4	Initial merchant production forecast
Q2 2027 through Q1 2028	FY2028	Full-year additional merchant demand/supply bridge

Calendar period used here	Arm fiscal period	Status
Q4 2027 through Q3 2028	FY2028 Q3 through FY2029 Q2	Exact active earnings window

One phonetically marked Q&A line conflicts with the prepared royalty-growth split; the prepared low-teens guide is the anchor. An isolated year slip in the May $90 million discussion is resolved by the surrounding explicit FY2027/FY2028 chronology. Neither is used to accelerate revenue.

Sources: ARM-FY26Q4-CALL (2026-05-06); ARM-FY27Q1-CALL (2026-07-29); ARM-FY27Q1-LETTER-SEC (2026-07-29); ARM-IR-RESULTS (2026-10-21).

Agentic computing expands CPU work



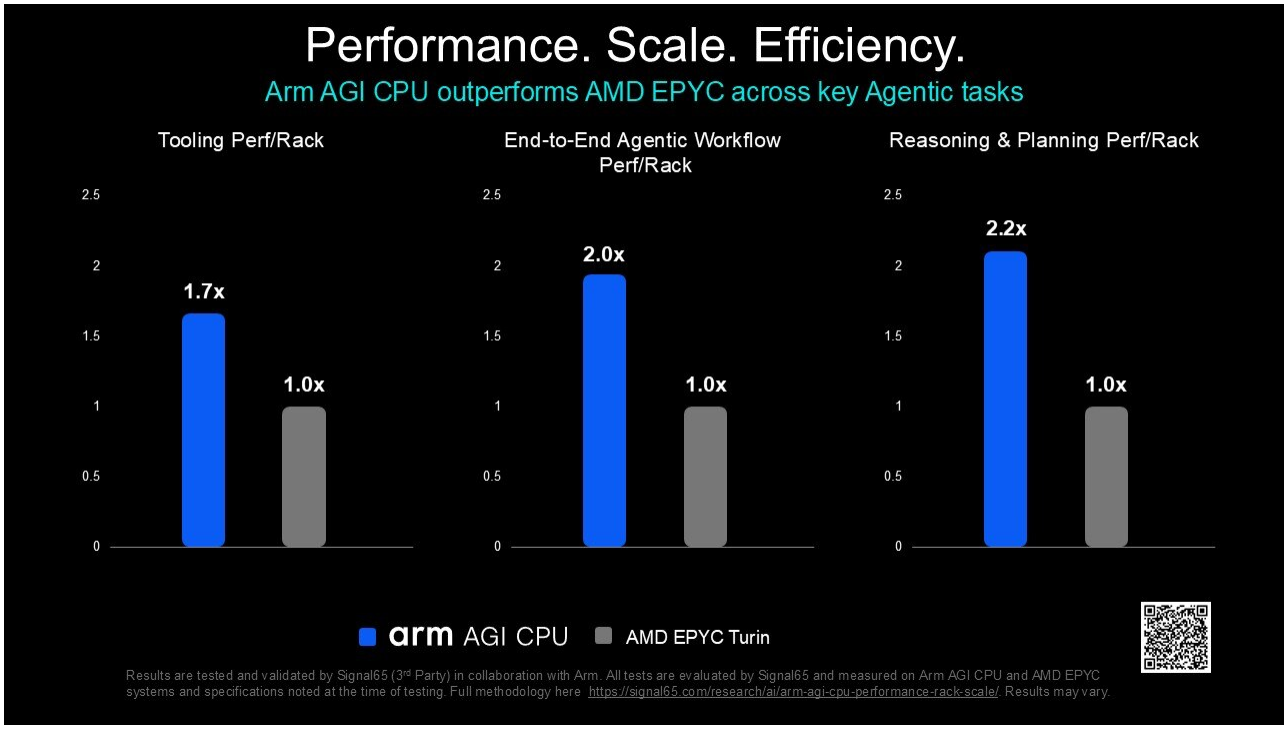
Arm architecture exhibit, October 13, 2026: dedicated agentic CPUs, cloud-native services and accelerator hosts perform different tasks around AI systems. They are workload categories with overlapping customers, rather than three independently additive market totals.

Agents run tools, compile code, orchestrate workflows, move data and prepare work for accelerators. More useful AI can therefore increase CPU activity as well as accelerator usage. The economic question for Arm is which licensee chips or merchant CPUs perform that work, when they ship and how much Arm earns after all costs.

Demand mechanism	Company capture	Constraint and overlap
Richer licensed CPU content	Royalties and access fees as customers adopt v9, CSS and Neoverse	Rates, unit shipments and end-market mix remain partly undisclosed; existing growth already includes AI adoption
Customers want a finished CPU	Accepted merchant CPU units x realized ASP	Manufacturing capacity, system qualification and direct competition with licensees control conversion
More agent workflows per user	Potential extra processor work, with capture through the two channels above	Software efficiency can offset work growth; workload counts do not reveal Arm invoices
SpaceX and wider AI capital spending	Potential licensee CPU royalties where incremental covered chips can be identified	No Arm-specific award, units or rates established; broad capex is not another merchant revenue block

Sources: ARM-AGENTIC-BENCHMARKS (2026-10-13); ARM-FY27Q1-CALL (2026-07-29); ARM-CSS-N4 (2026-09-08).

Competitive evidence has useful limits



Arm's October 13 summary of Arm-commissioned Signal65 work. The modeled rack comparisons use measured chip/server workloads and rated-power assumptions; early hardware, software and configuration differences limit extrapolation. The ratios are workload-specific performance observations, not selling-price, revenue or universal energy multipliers.

Category in issuer figure	Arm result as % of stated AMD baseline	Baseline
Tooling	170%	100%

Category in issuer figure	Arm result as % of stated AMD baseline	Baseline
Workflow and orchestration	200%	100%
Reasoning and planning	220%	100%

The report's overall modeled work per rack is about twice the EPYC 9755 baseline across seven workloads. A separate latency comparison uses EPYC 9965, which must remain a different comparison. The work does not directly measure GPU utilization, cloud-instance prices or every production customer's settings.

The evidence supports a route to competitive systems, subject to independent production validation. AMD and Intel can improve processors and software; hyperscalers can use their own Arm-based chips; RISC-V and other bespoke architectures compete where ecosystem and software costs allow. Arm's broad licensed ecosystem is a moat, while merchant CPUs also create a commercial conflict with customers building their own chips.

Counter to test	Why it matters
Production customer systems deliver smaller gains	Lower willingness to switch and weaker merchant realization
Competing system configuration or software improves	Headline rack advantage can narrow without a change in Arm's chip specifications
Longer integration and acceptance	Demand can remain real while revenue moves to later quarters
Higher memory, packaging or support costs	A successful CPU can still produce less operating profit than the model assumes

Sources: ARM-AGENTIC-BENCHMARKS (2026-10-13); ARM-SIGNAL65-OCT (2026-10-12); ARM-FY26-20F (2026-05-26).

The finite merchant CPU outcome



Supermicro Arm AGI CPU system displayed at OCP, October 2026; issuer account dated October 15. Rack integration supports an acceptance path. A displayed rack or stated CPU capacity is not a disclosed annual shipment count or sales contract.

Management's initial $1 billion opportunity and demand above $2 billion cover FY2027 plus FY2028 cumulatively, ending March 2028. The model retains $90 million in January-March 2027 and $910 million over the following fiscal year. The quarterly split of the latter is an analytical allocation, rather than a company quarter-by-quarter guide.

The finite additional outcome is $1 billion during FY2028, at 55% probability. Existing customer forecasts, new US and China interest and improving supply confidence support a probability modestly above even odds. Additional supply has not been secured for the whole amount, and expressions of demand are not noncancelable orders. A substantial shortfall case remains.

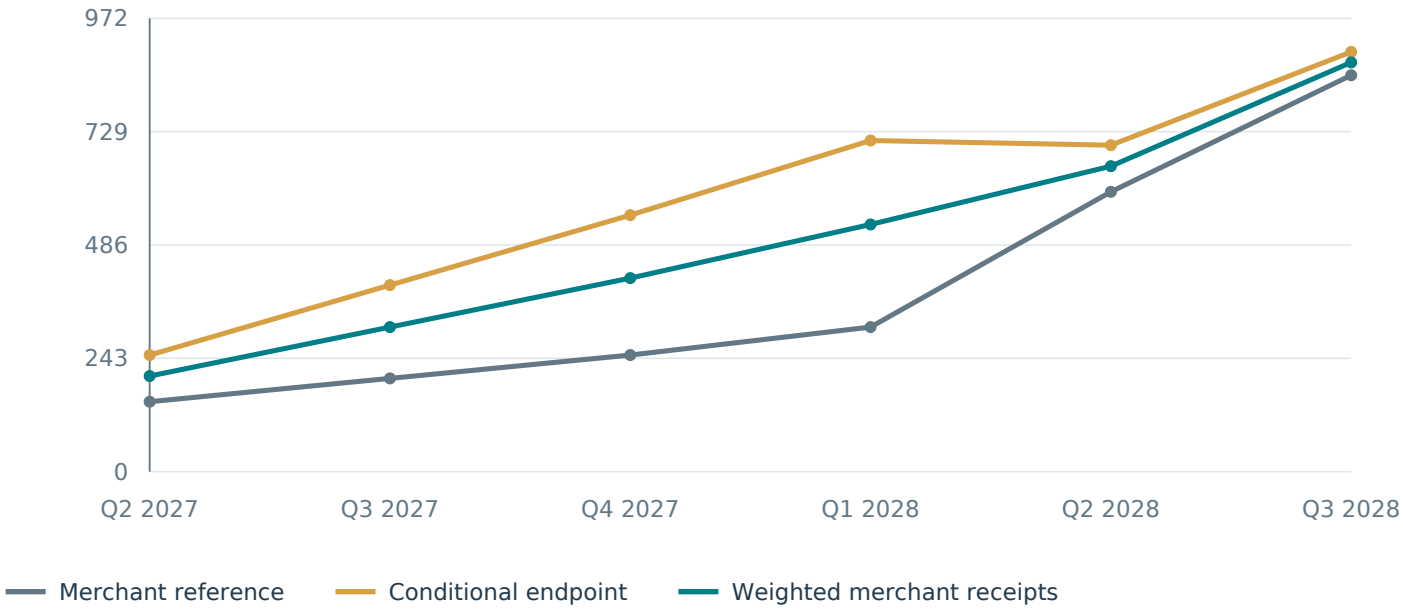
FY2027 + FY2028 cumulative	USD millions	Interpretation
Original supply-supported reference	1,000	Already in the operating reference
Finite additional conditional amount	1,000	Increment above the original amount, not another 2,000
Conditional total	2,000	A bounded endpoint within the reported demand pipeline; not a new guide
Probability applied once	55%	ASTRA judgment about added supply and accepted demand
Weighted extra receipts	550	Manufacturing and incremental support still need to be deducted
Weighted cumulative merchant receipts	1,550	1,000 reference + 550 weighted addition

Sources: ARM-FY27Q1-LETTER-SEC (2026-07-29); ARM-FY27Q1-CALL (2026-07-29); ARM-FY26Q4-CALL (2026-05-06); ARM-OCP-OCT (2026-10-15).

Recognition, manufacturing and support

A bounded extra supply ramp

USD millions / quarterly merchant receipts



All observations are model assumptions. The additional difference fades after March 2028 and is zero from Q4 2028; later growth remains in the reference. Whole-number display is rounded.

Calendar quarter	Reference	Conditional extra	Weighted extra	Weighted merchant total
Q2 2027	150	100	55	205
Q3 2027	200	200	110	310
Q4 2027	250	300	165	415
Q1 2028	310	400	220	530
Q2 2028	600	100	55	655
Q3 2028	850	50	28	878

The reference rises sharply after FY2028. The conditional difference therefore falls to $100 million and then $50 million during the next two quarters before ending. This $150 million conditional fade is an explicit assumption outside the source's cumulative period. It is not additional guidance and is not extended indefinitely.

Quarter	Weighted extra receipts	Manufacturing GP	Extra support	Merchant OP
Q2 2027	55	22	3	19
Q3 2027	110	44	7	37
Q4 2027	165	66	10	56
Q1 2028	220	90	13	77
Q2 2028	55	24	3	20
Q3 2028	28	12	2	11

Manufacturing uses each quarter's merchant gross margin, beginning around 40% and rising as the reference matures. Extra engineering, deployment support and variable administration equal 6% of genuinely incremental receipts. The reference already carries the full engineering plan and ordinary compensation; adding a second complete team budget would duplicate costs. No royalty is added on Arm's own finished chips.

Across the active Q4 2027-Q3 2028 window, weighted extra receipts are about $468 million. Manufacturing leaves $192 million of gross profit; extra support costs $28 million, producing $164 million of merchant operating profit before the distinct acquisition amortization below.

Acquisition accounting and the cost base

DreamBig closed on July 1, 2026 for approximately $265 million in cash. The disclosed acquisition does not establish a standalone sales forecast, and the future purchase-price allocation is unavailable. The current GAAP-style operating model includes an explicit amortization estimate rather than treating the purchase as costless.

Input	Current estimate	Evidence and uncertainty
Cash consideration	265	USD millions; approximately reported
Amortizable intangible fraction	70%	LOW analytical estimate; purchase allocation not disclosed
Useful life	5 years	LOW straight-line assumption
Quarterly amortization	9	USD millions; 265 x 70% / 5 / 4, beginning Q3 2026
Active four-quarter expense	37	Distinct from manufacturing, ordinary SBC and operating-team costs
Sensitivity	40%-90% allocation; 3-7 years	About 4-20 USD millions per quarter; isolated diagnostics, not extra cases added to the model

The operating team and R&D program remain inside the existing operating plan. No invented acquired sales or second engineering team is added. The cash purchase is not expensed again as operating profit; the amortization is the modeled noncash purchase-accounting charge. Replace the fraction and life when the actual allocation is disclosed.

The ordinary operating plan stays explicit

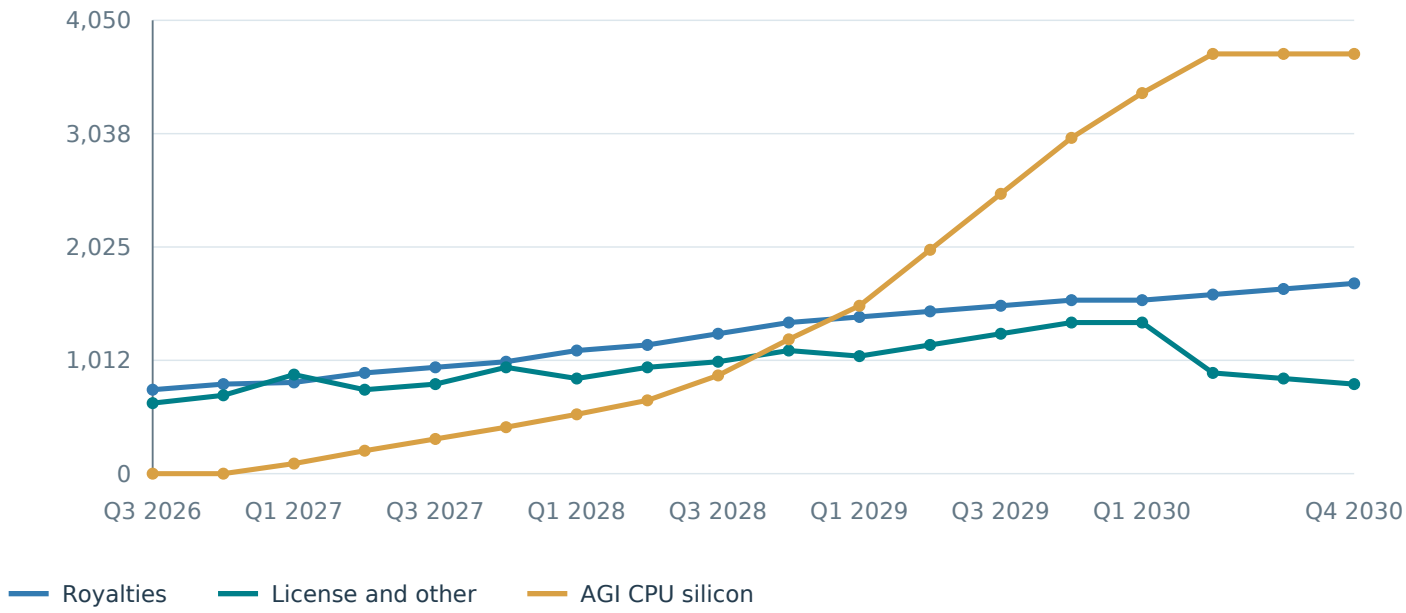
Cost line	Forecast rule	Confidence
Non-GAAP operating plan	780 in Q3 2026, growing 4% each quarter	LOW extrapolation from guided spending; dollars continue growing
Ordinary opex SBC and net employer-tax allowance	440 initially, rising linearly to 800 by Q4 2030	LOW forecast; realized taxes can vary with stock values and vesting
IP gross margin	About 97% throughout; exact model rate retained	LOW forward rate; already contains ordinary cost-of-sales compensation
Merchant manufacturing gross margin	39% initially, rising to 50% in later quarters	LOW quarterly path; management describes high-30s/low-40s first generation and about 50% later
New incremental support	6% of weighted additional receipts	LOW variable cost allowance applied once

Sources: ARM-FY27Q1-INTERIM (2026-07-29); ARM-FY27Q1-LETTER-SEC (2026-07-29); ARM-FY27Q1-CALL (2026-07-29).

Quarterly revenue by invoice

Merchant silicon changes the revenue mix

USD millions / calendar quarter



Q3 2026 is guidance anchored. Every later observation is a LOW-confidence model forecast, including the current weighted merchant outcome. Source totals and analyst allocations are different.

Quarter	Royalties	License / other	AGI CPU	Total revenue
Q3 2026	750	630	0	1,380
Q4 2026	800	700	0	1,500
Q1 2027	815	885	90	1,790
Q2 2027	900	750	205	1,855
Q3 2027	950	800	310	2,060
Q4 2027	1,000	950	415	2,365
Q1 2028	1,100	850	530	2,480
Q2 2028	1,150	950	655	2,755
Q3 2028	1,250	1,000	878	3,128
Q4 2028	1,350	1,100	1,200	3,650
Q1 2029	1,400	1,050	1,500	3,950
Q2 2029	1,450	1,150	2,000	4,600
Q3 2029	1,500	1,250	2,500	5,250
Q4 2029	1,550	1,350	3,000	5,900
Q1 2030	1,550	1,350	3,400	6,300
Q2 2030	1,600	900	3,750	6,250
Q3 2030	1,650	850	3,750	6,250
Q4 2030	1,700	800	3,750	6,250

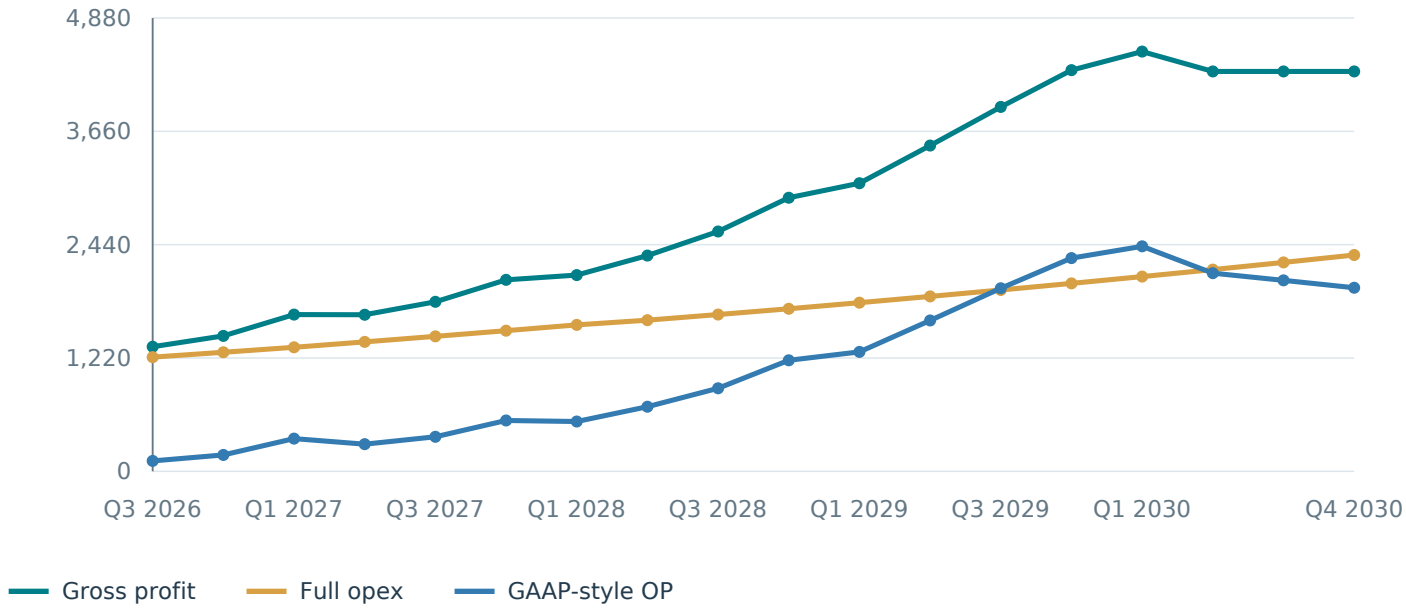
Vector	Revenue anchor and derivation	AH-7 confidence
Royalties	715 latest-quarter anchor x explicit quarterly adoption/content factors. Higher-value v9/CSS, cloud CPUs and licensed networking chips support the direction; detailed royalty-rate and chip-volume splits remain unknown.	HIGH actual total / LOW forward factor
License and other	574 latest-quarter anchor x contract-recognition factors. SoftBank services are already part of reported license/other revenue; no extra copy is added.	HIGH actual total / LOW contract timing
Merchant silicon	1,000 original cumulative opportunity allocated by quarter, plus the finite 55% incremental branch. Later reference grows toward the dated merchant ambition without another TAM multiplier.	LOW quarterly allocation, realization and later growth

These forward factors are reviewed analytical assumptions, not newly contracted revenue. Quarterly royalties and licensing cannot be independently verified from an undisclosed chip count or rate. The model is intentionally explicit about that uncertainty while preserving the current operating reference.

Gross profit, operating expense and earnings

Manufacturing mix changes the earnings bridge

USD millions / calendar quarter



All observations are forecasts. Full operating expenses retain ordinary compensation, net related taxes, incremental support and the explicit acquisition-amortization proxy. Merchant manufacturing is charged in gross profit.

Quarter	Revenue	Gross profit	Full opex	Operating profit	OP margin
Q3 2026	1,380	1,341	1,229	112	8%
Q4 2026	1,500	1,458	1,282	176	12%
Q1 2027	1,790	1,688	1,335	352	20%
Q2 2027	1,855	1,686	1,393	292	16%
Q3 2027	2,060	1,825	1,453	372	18%
Q4 2027	2,365	2,061	1,514	547	23%
Q1 2028	2,480	2,113	1,576	536	22%
Q2 2028	2,755	2,323	1,627	696	25%
Q3 2028	3,128	2,582	1,688	894	29%
Q4 2028	3,650	2,945	1,750	1,195	33%
Q1 2029	3,950	3,101	1,816	1,286	33%
Q2 2029	4,600	3,507	1,883	1,624	35%

Quarter	Revenue	Gross profit	Full opex	Operating profit	OP margin
Q3 2029	5,250	3,923	1,952	1,971	38%
Q4 2029	5,900	4,319	2,023	2,295	39%
Q1 2030	6,300	4,519	2,096	2,422	38%
Q2 2030	6,250	4,305	2,172	2,133	34%
Q3 2030	6,250	4,305	2,249	2,056	33%
Q4 2030	6,250	4,305	2,329	1,976	32%

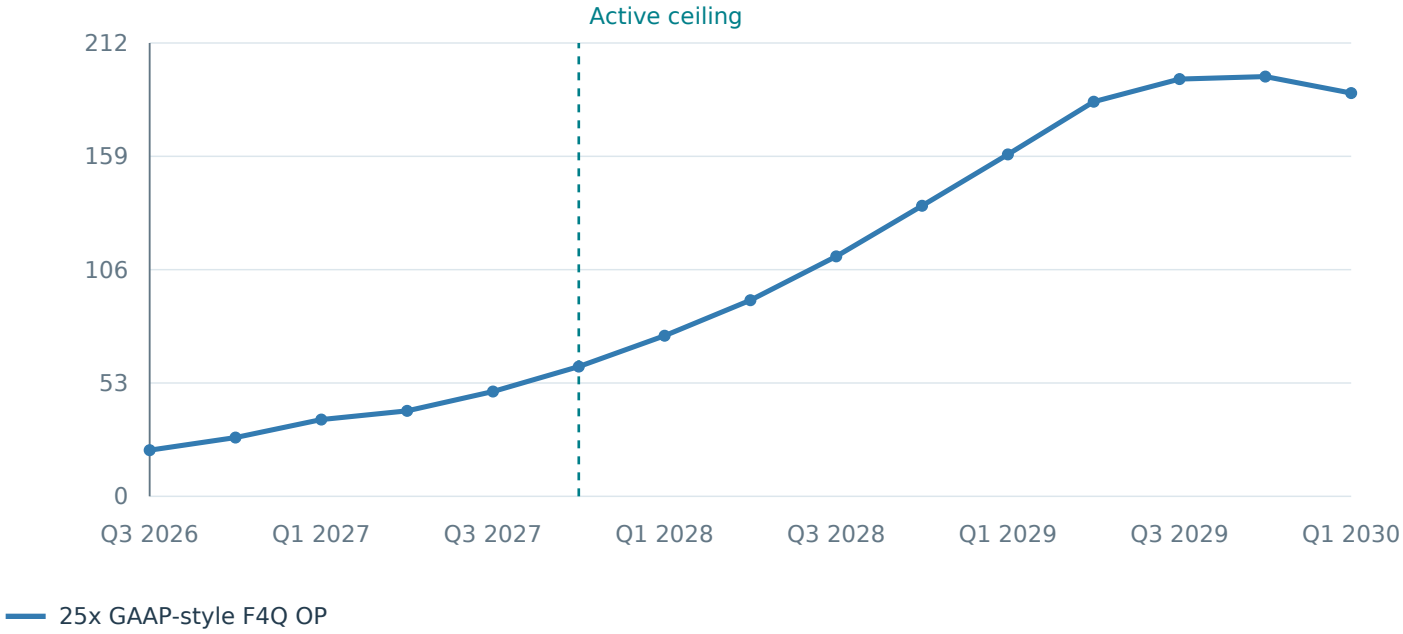
Each product's revenue is multiplied by its own gross margin. Product gross profits are summed and full operating expenses are deducted. Selling finished CPUs adds more revenue per unit of customer activity than licensing, but its lower manufacturing margin changes the mix. A high IP margin should not be applied to merchant-chip sales.

Quarter	IP GM	Merchant GM	Non-GAAP operating plan	Ordinary SBC / tax allowance	Extra support	Acquisition amortization
Q3 2026	97%	39%	780	440	0	9
Q4 2026	97%	39%	811	461	0	9
Q1 2027	97%	39%	844	482	0	9
Q2 2027	97%	40%	877	504	3	9
Q3 2027	97%	40%	912	525	7	9
Q4 2027	97%	40%	949	546	10	9
Q1 2028	97%	41%	987	567	13	9
Q2 2028	97%	43%	1,026	588	3	9
Q3 2028	97%	45%	1,067	609	2	9
Q4 2028	97%	47%	1,110	631	0	9
Q1 2029	97%	48%	1,155	652	0	9
Q2 2029	97%	49%	1,201	673	0	9
Q3 2029	97%	50%	1,249	694	0	9
Q4 2029	97%	50%	1,299	715	0	9
Q1 2030	97%	50%	1,351	736	0	9
Q2 2030	97%	50%	1,405	758	0	9
Q3 2030	97%	50%	1,461	779	0	9
Q4 2030	97%	50%	1,519	800	0	9

The complete rolling ceiling path

Forward earnings determine each ceiling

USD per ADS / rolling four-quarter operating ceiling



These are model ceilings, not analyst targets or market-price forecasts. Each point uses the named quarter plus its next three quarters and the starting-quarter total diluted-share path. The active quarter is Q4 2027.

Ceiling quarter	Exact earnings window	F4Q OP ($M)	Multiple	Shares (M)	Ceiling ($/ADS)
Q3 2026	Q3 2026 to Q2 2027	933	25x	1,080	22
Q4 2026	Q4 2026 to Q3 2027	1,193	25x	1,084	28
Q1 2027	Q1 2027 to Q4 2027	1,564	25x	1,088	36
Q2 2027	Q2 2027 to Q1 2028	1,748	25x	1,092	40
Q3 2027	Q3 2027 to Q2 2028	2,151	25x	1,096	49
Q4 2027	Q4 2027 to Q3 2028	2,673	25x	1,101	61
Q1 2028	Q1 2028 to Q4 2028	3,321	25x	1,105	75
Q2 2028	Q2 2028 to Q1 2029	4,071	25x	1,109	92
Q3 2028	Q3 2028 to Q2 2029	4,999	25x	1,113	112
Q4 2028	Q4 2028 to Q3 2029	6,076	25x	1,117	136
Q1 2029	Q1 2029 to Q4 2029	7,176	25x	1,121	160
Q2 2029	Q2 2029 to Q1 2030	8,313	25x	1,125	185

Ceiling quarter	Exact earnings window	F4Q OP ($M)	Multiple	Shares (M)	Ceiling ($/ADS)
Q3 2029	Q3 2029 to Q2 2030	8,822	25x	1,129	195
Q4 2029	Q4 2029 to Q3 2030	8,907	25x	1,134	196
Q1 2030	Q1 2030 to Q4 2030	8,588	25x	1,138	189

Active calculation: Q4 2027 through Q3 2028 operating profit totals $2,673 million. Multiplying by 25 and dividing by 1,101 million total diluted ordinary-equivalent shares gives about $61 per ADS. The operating contribution already includes the 55% merchant probability; thesis Base is not multiplied into this ceiling again.

The 25x multiple, operating-profit basis and starting-quarter share convention are preserved. Net income, adjusted EPS, EBITDA, operating cash flow, controlling-owner float and broad sector valuation defaults are not substituted into this chain. The active selection advances on the standing calendar schedule, independently of changes in the operating forecast.

Every ceiling's four-quarter derivation

The following shows the four constituent quarterly operating-profit values, their forward sum and the valuation calculation for every ceiling quarter. Each display input is rounded separately to whole numbers. Calculations use the unrounded stored inputs; adding the displayed rounded components can differ from the displayed rounded total.

Ceiling quarter	Four quarterly OP terms ($M, rounded)	F4Q OP x 25 / claims = ceiling (rounded)
Q3 2026	112 + 176 + 352 + 292	933 x 25 / 1,080 = 22
Q4 2026	176 + 352 + 292 + 372	1,193 x 25 / 1,084 = 28
Q1 2027	352 + 292 + 372 + 547	1,564 x 25 / 1,088 = 36
Q2 2027	292 + 372 + 547 + 536	1,748 x 25 / 1,092 = 40
Q3 2027	372 + 547 + 536 + 696	2,151 x 25 / 1,096 = 49
Q4 2027	547 + 536 + 696 + 894	2,673 x 25 / 1,101 = 61
Q1 2028	536 + 696 + 894 + 1,195	3,321 x 25 / 1,105 = 75
Q2 2028	696 + 894 + 1,195 + 1,286	4,071 x 25 / 1,109 = 92
Q3 2028	894 + 1,195 + 1,286 + 1,624	4,999 x 25 / 1,113 = 112
Q4 2028	1,195 + 1,286 + 1,624 + 1,971	6,076 x 25 / 1,117 = 136
Q1 2029	1,286 + 1,624 + 1,971 + 2,295	7,176 x 25 / 1,121 = 160
Q2 2029	1,624 + 1,971 + 2,295 + 2,422	8,313 x 25 / 1,125 = 185
Q3 2029	1,971 + 2,295 + 2,422 + 2,133	8,822 x 25 / 1,129 = 195
Q4 2029	2,295 + 2,422 + 2,133 + 2,056	8,907 x 25 / 1,134 = 196
Q1 2030	2,422 + 2,133 + 2,056 + 1,976	8,588 x 25 / 1,138 = 189

Long-range trajectory and its demands



Management briefing, March 30, 2026: FY2031 goals include $10 billion IP/CSS revenue, $15 billion merchant-chip revenue, adjusted operating margins above 65% and 30%, and adjusted EPS above $9. These are aspirations and adjusted measures; FY2031 ends March 2031 and is not calendar 2030.

Calendar year model	Royalties	License / other	Merchant	Revenue	GAAP-style OP	OP margin
2027	3,665	3,385	1,020	8,070	1,564	19%
2028	4,850	3,900	3,263	12,013	3,321	28%
2029	5,900	4,800	9,000	19,700	7,176	36%
2030	6,500	3,900	14,650	25,050	8,588	34%

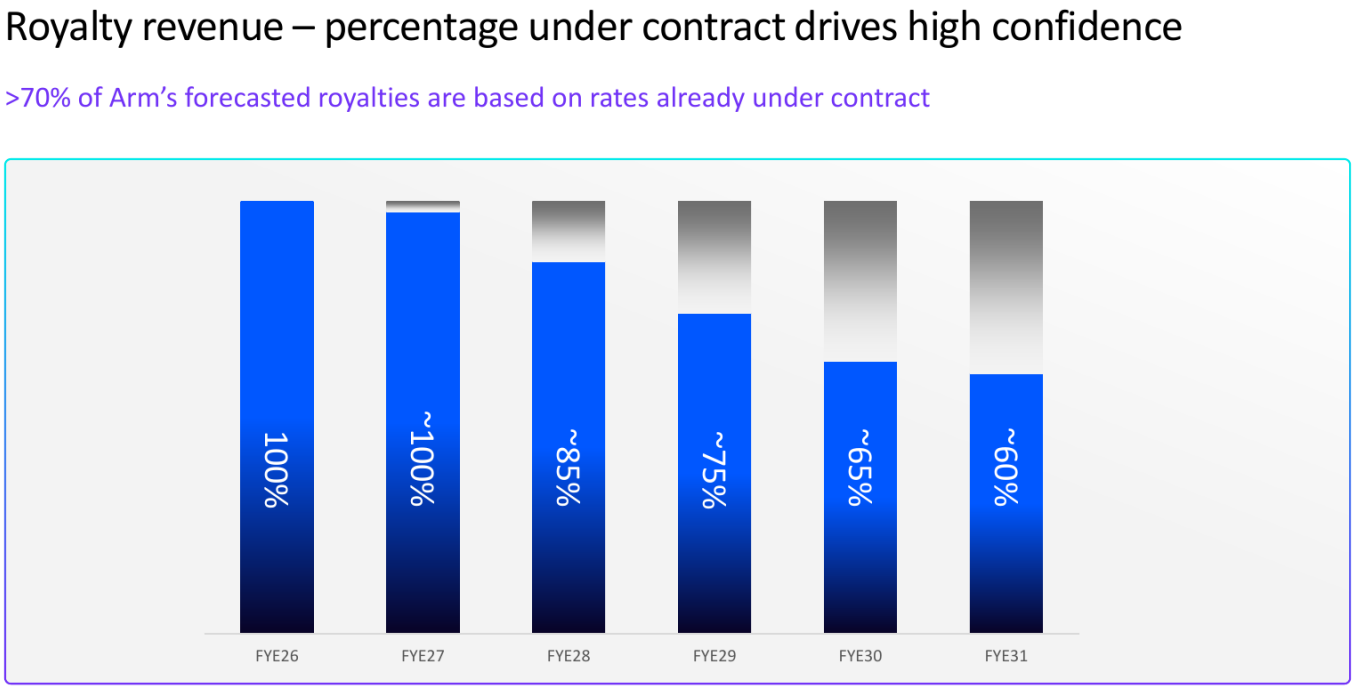
The calendar model already approaches the scale of the management aspiration. It requires major merchant production, accepted customers, higher later manufacturing margin and operating leverage while dollar engineering and compensation costs keep growing. The terminal ambition is not another addition to sales, and its adjusted margins do not establish GAAP-style earnings.

Demand-side cross-check	What is required	Unresolved input
IP revenue	More royalty-bearing chips, richer content and continuing license contracts	End-market dollar splits, exact rates, units and customer pricing

Demand-side cross-check	What is required	Unresolved input
Merchant receipts	Saleable production capacity x utilization x accepted chip units x ASP	Wafer allocation, yield, unit price and firm accepted program schedule
Merchant gross profit	Receipts less outsourced production, packaging, memory and test costs	Product-level GAAP COGS and support mix
Shareholder earnings	Gross profit growth exceeding ordinary R&D, support, SBC, employer taxes and acquisition costs	Future tax/vesting exposure and actual purchase-price allocation

Sources: ARM-BUSINESS-BRIEFING (2026-03-30); ARM-FY27Q1-CALL (2026-07-29).

Rate visibility, cash and concentration



Management's March 30 royalty-rate coverage forecast. Approximate chart labels for FY2026-FY2031 are 100%, 100%, 85%, 75%, 65% and 60%. Contracted rates improve rate visibility; they do not guarantee shipped chips, customer volumes or future royalty dollars.

Reported or dated indicator	Amount	Interpretation
Annualized contract value	1,732	USD millions; licensing trend indicator, not total revenue or a chip orderbook

Reported or dated indicator	Amount	Interpretation
RPO at June 30	2,123	USD millions; about 24% over next 12 months and 23% in following 12 months; excludes future royalties
Cash and short-term investments	3,888	USD millions at June 30, before the July acquisition closing
Quarterly operating cash flow / company FCF	902 / 665	USD millions; cash generation differs from GAAP operating profit
Related-party quarterly revenue	388	USD millions; concentration and economics require separate scrutiny
Arm China IPLA revenue	189	USD millions; differs from 200 PRC geography revenue
SoftBank technology/services contribution	193	USD millions; already part of licensing/other
Top five customers	57%	FY2026 revenue concentration
SoftBank ownership	86%	Dated May 21, 2026 ownership, rounded; total claims remain in the denominator

RPO remains in the interim filing even though it is absent from the newer shareholder KPI table. It excludes future royalties and cannot validate the merchant demand pipeline. Geographic revenue is classified by customer headquarters rather than final device sales or factory location. Arm China receivables, related-party arrangements and controlling ownership make the quality and independence of revenue as important as the headline growth rate.

Sources: ARM-BUSINESS-BRIEFING (2026-03-30); ARM-FY27Q1-INTERIM (2026-07-29); ARM-FY26-20F (2026-05-26).

Sensitivity without changing the method

Isolated realization case	Active ceiling ($/ADS)	Interpretation
Original supply only; PPA retained	57	Diagnostic only
Root-weighted supply outcome; PPA retained	61	Adopted
Full finite conditional endpoint; PPA retained	64	Diagnostic only

PPA assumption	Quarterly expense ($M)	Active ceiling ($/ADS)
40% over 3 years	9	61
40% over 7 years	4	61
90% over 3 years	20	60
90% over 7 years	9	61

Share assumption	Active claims (M)	Active ceiling ($/ADS)
5% fewer claims	1,046	64
Retained path	1,101	61
5% more claims	1,156	58
10% more claims	1,211	55

These rows isolate one variable while keeping the 25x operating-profit method intact. They are not additional probabilities, additive outcomes or a replacement for the adopted case. The retained share path rises from 1,080 million to 1,150 million total diluted ordinary-equivalent claims; it is a forward assumption and uses all economic ownership, not the public float.

Probability ledger and zero-increment decisions

Signal	Probability	Current economic treatment
Additional merchant demand and supply, July 29	55%	Finite extra 1,000 in FY2028; weighted 550 receipts, quarter-specific manufacturing margin and 6% incremental support. Initial reference and timing retained.
DreamBig reported closing, July 1	100% for closing	Separate LOW purchase-allocation/life estimate; quarterly amortization begins Q3 2026. No additional acquired sales or second team budget.
CSS N4, September 8	70%	Supports the existing ecosystem and single merchant pipeline. No separately priced new contract, units or rate; no second revenue increment.
Commissioned benchmark and OCP, October 12-15	60%	Correlated competitiveness/integration support for the same pipeline, qualified by test limits. No independent price or demand multiplier.
Qualcomm statement, October 13	70%	Legal context only; party-reported outcome does not establish changed commercial rates, new royalty units or final appeal resolution.
SpaceX read-through, October 20	40%	Attempted licensee chip units x royalty-rate proxy after overlap. No attributable net new units, rates or Arm award established; broad capex is insufficient.
September-quarter guidance, July 29	90%	Already anchors revenue 1,380 and adjusted opex 780; no second copy, and guidance remains distinct from actuals.

The listed probabilities are analytical judgments about individual outcomes, separate from the 73% thesis score. They are not multiplied into the target again. A zero separate contribution follows a specific overlap, unavailable company invoice bridge or legal-accounting limitation; lack of official confirmation by itself does not exclude a quantifiable forward signal.

Test	Raise realization or tighten the bridge	Reduce realization or change timing
Added supply and accepted customers	Reconciled supply beyond the original plan, named accepted programs and quantified economics	Supply slips, withdrawals or slower acceptance
Production competitiveness	Independent customer results on comparable hardware/software	Weaker production results or competing systems narrowing the advantage
Unit costs and support	Disclosed product costs and achieved yields validate the margin/opex bridge	Incremental manufacturing/support cost exceeds the forecast
Acquisition accounting	Disclosed allocation and useful lives replace the explicit estimate	Larger amortization or other costs require the same GAAP-style OP review

Scorecard, risks and cross-book tests

Category	Points	Maximum	Evidence and limitation
Core thesis	17	20	Broad licensed CPU ecosystem and contracted royalty rates; merchant silicon adds direct product execution and customer conflict.
Cycle stage	9	10	v9/CSS adoption and agentic workloads support growth; the merchant production and supply ramp is still early.
TAM expansion	10	10	Data-center IP, CSS and merchant CPU invoices widen the addressable wallet; category overlap and manufacturing costs remain explicit.
Catalysts	4	5	November4 earnings, the later supply update and FY2028 acceptance/shipments can test the finite merchant bridge.
Macro	8	10	AI infrastructure and processor demand support adoption, with handset exposure and customer capital cycles.
Alpha	1	5	The additional supply/demand branch is company-specific, but Arm and its AI CPU opportunity are widely followed; broad AI spending is already in the reference.
Risks	-5	0	Five risk classes: supply/acceptance, technology/customer competition, ordinary compensation and acquisition accounting, related-party/control concentration, and policy/litigation.
Total analytical score	44	60	73% - Watchlist; protected Excel Base remains 73

Five separately scored risk classes

Risk class	Failure mechanism
Supply and customer acceptance	Demand does not become accepted merchant deliveries in the modeled quarters; capacity and qualification can lag.
Technology and customer competition	x86, rival Arm CPUs and custom architectures narrow performance/value; merchant products compete with licensees.
Compensation and acquisition economics	Ordinary SBC, net employer taxes, manufacturing costs or PPA amortization exceed the LOW allowances.
Concentration and control	Top customers, Arm China, related parties and controlling ownership affect revenue quality, collections and minority-holder outcomes.
Policy and litigation	Export/geopolitical restrictions or unresolved legal/commercial terms impair customer access, contract economics or enforcement.

Paired portfolio watches

Related coverage	Cross-check without duplicate revenue
AMD and INTC	Server CPU share, production performance and customer switching; their improvement can counter the merchant hypothesis.
NVDA and hyperscaler custom CPUs	Licensee CPU units/rates may create royalties; GPU capex alone is not Arm revenue.
MRVL and AVGO	Licensed networking/custom silicon can create Arm content, with contract-specific royalties rather than their entire invoice value.
TSMC, memory and packaging	Qualified supply, yield and cost affect finished CPU receipts and gross profit; supplier capex is not a second Arm demand source.
SpaceX-linked power/networking buildout	Potential common AI demand context, already overlapped with the operating reference unless attributable new Arm economics emerge.

Source register and remaining uncertainty

Primary or original source	Source date	Evidence status
FY27Q1-LETTER-SEC	2026-07-29	Read; original bytes unavailable
FY27Q1-INTERIM	2026-07-29	Read; original bytes unavailable
FY27Q1-CALL	2026-07-29	Read; original bytes unavailable
FY26Q4-CALL	2026-05-06	Read; original bytes unavailable
FY26-20F	2026-05-26	Read; original bytes unavailable
IR-RESULTS	2026-10-21	Read; original bytes unavailable
AGI-LAUNCH	2026-03-24	Original preserved
CSS-N4	2026-09-08	Original preserved
AGENTIC-BENCHMARKS	2026-10-13	Original preserved
SIGNAL65-OCT	2026-10-12	Original preserved
OCP-OCT	2026-10-15	Original preserved
QUALCOMM-VERDICT	2026-10-13	Original preserved
BUSINESS-BRIEFING	2026-03-30	Original preserved

Financial prepared remarks and Q&A from both latest management calls were reviewed through supported-reader extracts. Direct original call PDFs were unavailable and call audio was not independently listened. The latest results deck link/title was verified, but its full content was not reviewed. These limits do not erase the independent filed financials or accessible issuer product evidence.

Outstanding input	Consequence
Merchant allocation, ASP and order terms	Quarterly sales and supply conversion remain LOW-confidence estimates
End-market royalty units and rates	Cannot independently turn data-center growth or core counts into exact royalty dollars
Product GAAP costs and tax exposure	Margins, support and employer-tax assumptions require actual-result checks
DreamBig purchase allocation and standalone economics	Keep explicit amortization sensitivity; do not invent acquired sales
Qualcomm court finality and commercial terms	No quantified new royalty uplift or damages assumption

The self-contained report reflects the current root-approved operating model under Framework v8.0. The source register, original-image records and synchronized numerical model preserve the evidence dates and completeness limits. Price-dependent portfolio ranking remains in the portfolio system.